

SMOKY MOUNTAIN CPAS · FREE GUIDE

The Retail & Boutique Bookkeeping Checklist

The monthly routine that keeps your inventory honest, your sales tax handled, and your real margin clear, so the profit number you run on is actually true. Built by two CPAs who keep the books for retail and boutique stores.

Smoky Mountain CPAs

Two Licensed CPAs · Big Four Trained · We don't file taxes, we keep your books ready for whoever does.

Why retail books break

Retail has two things that quietly wreck books: inventory and merchant deposits. Inventory is money sitting on your shelves, not an expense until it sells, and most books get that timing wrong. And every deposit from Square, Shopify, or your POS is a bundle of sales, fees, and sales tax mashed into one number. Book those wrong and your margin, your profit, and your sales tax are all fiction. This checklist keeps them honest.

Every month, in order

- ☐ Reconcile every bank and credit card account to its actual statement.
- ☐ Split each merchant deposit (Square, Shopify, Clover, POS) into its real parts: gross sales, processing fees, refunds, and sales tax collected. Never book the net deposit as income.
- ☐ Record inventory as an asset when you buy it, and move it to cost of goods sold only when it sells.
- ☐ Match deposits to the sales they came from so nothing is double-counted or missed.
- ☐ Track sales tax collected as a liability, money you're holding for the state, not your income.
- ☐ Keep vendor bills and accounts payable current so you know what you actually owe.
- ☐ Record markdowns, damages, and shrinkage so your inventory value reflects reality.
- ☐ Produce a P&L and a balance sheet, and read your real gross margin.

The deposit trap: if your recorded "sales" match your Square or Shopify deposits to the penny, your books are almost certainly wrong. Clean books show gross sales higher than deposits, with fees and sales tax broken out.

Inventory, sales tax, and paying yourself

Inventory that reflects reality

- ☐ Buy inventory, record it as an asset. Sell it, move that cost to cost of goods sold. That's how you see real margin.
- ☐ Count and reconcile your inventory value at least quarterly, so your balance sheet isn't a guess.
- ☐ Account for shrinkage, theft, damage, and markdowns rather than pretending it all sold at full price.

Sales tax you actually owe

- ☐ Know which states and localities you have nexus in, especially if you sell online too.
- ☐ Check whether a marketplace already remitted the tax. Your own store and POS usually did not.
- ☐ Hold tax collected as a liability and file on each jurisdiction's schedule, so you're never surprised.

Pay yourself first

- ☐ Open separate accounts for Profit, Owner's Pay, Taxes, and Operating Expenses.
- ☐ When money comes in, move set percentages into each account before you restock or spend.
- ☐ Pay yourself from Owner's Pay on a schedule, so your income isn't whatever the register did this week.

The margin question: do you know your real gross margin by the numbers, not a gut feel? If inventory and fees aren't booked right, you don't, and every buying and pricing decision is built on a number that isn't real.

Red flags & what to do next

Signs your books need attention

- ☐ Your recorded sales match your merchant deposits exactly (the deposit trap).
- ☐ You're not sure what your real gross margin is.
- ☐ Inventory on your books hasn't been reconciled to an actual count in a while.
- ☐ Sales tax feels like a guess.
- ☐ You're not sure how much you can safely pay yourself this month.
- ☐ "Clean it up later" has been on a list for more than three months.

If two or more of those landed

It's worth a real look. Our In-Depth Diagnostic Review puts two licensed CPAs inside your actual books to tell you the truth, in writing and on a recorded video walkthrough. It's \$497, one time, credited in full toward your first month if you decide to work with us. Especially worth it for a newer business, before your books ever reach your tax preparer.

Two ways to take the next step:

See the Diagnostic Review → smokymtncpas.com/diagnostic/
Or tell us about your business → smokymtncpas.com/get-started/
Questions? Call us at (865) 312-1203.

Clean books. Cash clarity. Built for retail.

Smoky Mountain CPAs · Two Licensed CPAs, Big Four trained · We keep your books tax-ready all year and work alongside your tax preparer. We do not file tax returns.